



IN 1848, JOHN Sutter was building a water-powered sawmill in California when he saw flakes of gold on a streambed. The news spread like wildfire and resulted in the famous Californian gold rush. Though roughly \$2 billion worth of gold was mined in the region over the next couple of years, few prospectors made it rich due to the high cost of mining and harsh conditions.

India has been seeing its mini gold rush for the last few years but with a difference—investors here have been making loads of money. Gold has outperformed every other asset class in India over the past year, burnishing its reputation as a storehouse of wealth for investors even as geopolitical tensions and economic worries roil financial markets.

The price of the precious metal surged 33.3% in 12 months to ₹87,447 per 10 grams on March 24, 2025, from ₹65,600 a year ago, eclipsing benchmark equity indices, which rose nearly 6% during the period. The flight to the safety of gold was triggered by Donald Trump's election as US President and his threats to slap punitive tariffs on imports from the country's biggest trading partners, including India, the war in Ukraine and tensions in the Middle East.

A strong American dollar and the rupee's weakness amid a flight of foreign investors—plus purchases by central banks—also enhanced the metal's role as a key part of investor holdings in a country where it has always been prized by households as the best hedge against inflation.

International investment houses, including Goldman Sachs and UBS Group AG, are bullish on gold. Goldman Sachs recently raised its end-2025 forecast for gold price to \$3,100 per ounce (28.35 grams), up from \$2,890, citing strong central bank demand as a key factor. UBS increased its year-end target to \$2,900 per ounce, citing investor sentiment amid macroeconomic uncertainties. It has already crossed the target and was above \$3,000 on March 24.

EFFECT ON GOLD ETFs

The rising demand for gold has delivered a shot in the arm to gold ETFs, which invest in bullion and mimic the price of physical gold, allowing investors to gain exposure to the precious metal. Gold ETFs primarily invest in physical

GOLD LURES INVESTORS

▶ Gold has outperformed other asset classes in India, rising 33.3% in one year, significantly higher than the 6% gains seen in equity benchmark indices

▶ Inflows into gold ETFs rose from ₹5,248 crore in FY24 to ₹14,929 crore in FY25 (till February 2025), indicating an interest in gold as a hedge against volatility

▶ Gold ETFs provide liquidity, transparency, and cost-efficiency compared to physical gold and sovereign gold bonds

▶ They are fully backed by high-quality physical gold and regulated by Sebi

▶ While gold ETFs are a safe asset, silver ETFs are more volatile due to industrial demand in solar energy, EVs, and electronics